

Sri Lanka's Brain Drain

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The brain drain from the developing countries to those of the more developed has caused much concern in recent years to the countries losing their scarce professional and technical skills. In this analysis of some aspects of the problem in Sri Lanka Devanesan Nesiah argues that the key motive force in the brain drain has been the absence of satisfactory career prospects, inadequate professional recognition and lack of job-satisfaction. A root cause, however, is the imbalance in development in the country of emigration and possibly in the country of immigration as well. But, whatever the motivation, it is evident that the brain drain amounts to a massive transfer of resources from the poor to rich countries. In a comprehensive paper on "The Brain Drain, Internal and External", presented in November this year to an Asian Seminar on "Employers, Selection for Employment, Manpower Development and Education", he viewed the problem in its historical perspective and made a detailed analysis of the magnitude, composition and direction; individual motivation; cost and benefits of the brain drain and the situation in Sri Lanka with suggested policy alternatives. Here we focus on the situation in Sri Lanka and some possible alternatives for policy makers. Mr. Nesiah who is at present Senior Assistant Secretary in the Ministry of Plan Implementation, in charge of the subject of Social Overheads and Population Policy, has had wide experience in the field of employment and manpower planning as Director, Employment in the former Ministry of Planning and Economic Affairs, as Secretary to the Dudley Seers ILO Mission in 1970 and in the districts as Government Agent in Mannar and in Batticaloa.

The situation in Sri Lanka

Manpower Planning in Sri Lanka is still in the embryonic stage. Till recently it was not listed as a subject or function of any Ministry or Department. "Employment and Manpower Planning" was gazetted as a function of the Ministry of Planning and Economic Affairs a few years ago. "Manpower Planning" is now a subject of the Ministry of Plan Implementation, "Employment Planning" a subject of the Ministry of Youth Affairs and Employment, and "Employment, Employment Information and Unemployment" a subject of the Ministry of Labour.

There has been inadequate co-ordination between different public sector institutions engaged in technical education and training programmes, and virtually no co-ordination with private sector institutions. Consequently some skills are overproduced and many skills underproduced; the levels of the skills produced may also not match requirements. The Ministry of Education has been responsible for university education and the programmes of the various technical colleges and other educational institutions. University education and most of

technical education are now subjects of the new Ministry of Higher Education. The Labour Department has training courses in certain fields, mostly at the craft level, open to those self-employed or employed in the private sector. Generally, other Ministries, Departments and public corporations have training courses exclusively to meet their own needs. Some of the major private sector institutions also have training programmes largely for their own requirements.

The National Apprenticeship Board (NAB) set up a few years ago under the Ministry of Industries and Scientific Affairs and now functioning under the Ministry of Youth Affairs and Employment has made some progress towards remedying this circumstance. The NAB has done some research into manpower supply and demand and is involved with both public and private sector agencies in some ongoing programmes for the production of skills. Much of the effort to rationalise training programmes has been undermined by the brain drain which has not been taken into account.

In the Universities the sizes of the different faculties are neither according to the manpower needs of the country nor according to the choice

of the students. The rapid expansion of secondary education in the 1950s and 1960s had led to the build up of pressure for the expansion of higher education. In the case of the medical, engineering and other science courses, the intake is determined largely by the capacity of teaching facilities e.g. the sizes of the laboratories and the teaching staff. The intake into the engineering degree courses was stepped up sharply in 1972 with the unplanned upgrading of Katubedde Technical College to University status. This has now led to the easing of the shortage of electrical and mechanical engineers. The shortage of civil engineers remains acute on account of the brain drain, but the annual output of civil engineering graduates is to be doubled. The intake of medical undergraduates is limited by the shortage of teaching staff as well as teaching hospitals. Till recently only Colombo and Kandy General Hospitals were recognised as teaching hospitals. With the upgrading of Jaffna and Galle General Hospitals and the establishment of the Jaffna Medical College and the proposed establishment of the Galle Medical College, the shortage of doctors should ease in due course. Since the medical course is a long one and there is a shortage of doctors accumulated over many years, the shortage is likely to persist right through the 1980s.

In the case of the Arts and Oriental Language courses, there is greater freedom of choice at the University level but in effect even this choice is restricted on account of the limited range of subjects taught in most schools at the senior secondary level. This pressure has resulted in the disproportionate expansion of the Arts and Oriental Languages faculties. The proposed new Universities in Galle and Batticaloa and the new campus at Polgolla are even more heavily weighted in favour of the Humanities. Acute shortages of skills may therefore continue in many scientific and technical fields while thousands of graduates in the Humanities with uncertain prospects of employment enter the labour market every year.

TABLE 1
DEMAND AND SUPPLY
OF HIGH-LEVEL MANPOWER
TECHNICIANS AND SKILLED
WORKERS
(1971-1978)

Category	Demand	Supply
Engineers	1,489	1,880
Accountants	40	90
Technicians	7,950	7,200
Skilled Craftsmen	18,400	19,200
Doctors	1,500	1,950
Dentists	240	270
Nurses	3,620	3,620
Agriculture Graduates	470	450
Agriculture Technicians	1,000	1,000
Veterinary Surgeons	160	160
Science Graduates	7,920	5,150
Teachers	26,500	28,250

Source: 'Data on the Demand and Supply of Skilled Workers, Scientists, Engineers and Professionals', Employment and Manpower Planning Division, Ministry of Employment and Economic Affairs 14-11-75.

The brain drain has made the situation much more difficult, in that it is mostly for those skills which are in local short supply that there is overseas demand. Particularly where the training is undertaken by a Ministry, Government Department or Corporation to cater to its own self requirements, the flexibility required to expand the training input to meet such factors as the brain drain is lacking. A comparison of Table 1 showing the projected (domestic, in some cases departmental) demand and supply of high-level manpower skill levels (1971-78) and Table 2 showing the numbers of trained personnel who left for employment abroad in the period May 1971 to June, 1976, explains the strategies that have arisen in the case of doctors and engineers. Many other skills are in short supply for similar reasons.

The administrative policy in respect of conservation of essential skills in short supply is largely a series of *ad hoc* measures introduced and modified over the years as particular acute skill shortages surfaced. These measures, though essential in particular situations, have no long-term perspective and are designed to temporarily ease rather than solve the problem. Some foreign governments have been prevailed upon to refrain from poaching skills from Sri Lanka's public sector

without clearance from the Government. The Compulsory Public Service Act No. 9 of 1971 and the Passport (Regulation) and Exit Permit Act of 1971 were, respectively, designed to restrict the outflow of doctors, engineers and some technical persons whose skills were in short supply and to ensure regular remittances from our citizens working abroad.

There has been some administrative relaxation and at present, it is mostly some medical and para-medical personnel who are affected by the Compulsory Public Service Act. The requirements regarding foreign exchange remittances and exit permits have been done away with altogether. The stipulation regarding signing of bonds to serve the ministry after scholarship or leave abroad are contained in various circulars and financial and establishment regulations. The instructions

and training abroad on full-pay leave and also to permit the immediate discharge of such obligation on payment of cash.

Some of these relaxations were the consequence of the report of the Cabinet Committee which inquired into the problems of technologically, professionally and academically qualified personnel leaving Sri Lanka—Sessional Paper No. X of 1974. This comprehensive, liberal and far-sighted report by a high-powered Cabinet Committee was the first attempt to take an overall view of the problems of brain drain from Sri Lanka, analyse its causes and work out solutions. The Cabinet accepted these recommendations and decided that they should be implemented with effect from 1 November, 1974. Though an Officials Committee was appointed to work out details for implementation of the recommendations, only a few of

TABLE 2
TRAINED PERSONNEL WHO LEFT FOR EMPLOYMENT
ABROAD

Occupation/Category	May 1971 Apr. 1972	May 1972 Apr. 1973	May 1973 Apr. 1974	May and June 1974	July 1974 June 1975	July 1975 June 1976*	July 1976 Dec. 1976	Total
Doctors	108	171	238	41	343	343	110	1,254
Engineers	54	113	94	14	118	498	183	1,074
Accountants	23	41	88	11	86	162	98	489
University Teachers	—	15	24	02	14	54	52	141
Other Teachers	82	55	52	04	70	279	86	628
Lawyers	08	35	13	02	28	49	35	160
Technicians	—	20	27	15	228	176	71	537
Total	275	450	536	89	787	1,561	595	4,295

* Data were obtained by examining Embarkation Cards.

Source: 'Migration of trained and skilled manpower and unskilled labour to West Asia', Employment and Manpower Planning Division, Ministry of Plan Implementation, 26-9-78.

contained in the Establishment Circular Letter No. 170 of 18-12-1974 concerning officers proceeding on study or training on full pay study leave and the Establishment Circular Letter No. 179 of 8-3-1976 concerning officers proceeding on no-pay leave, superseded the earlier more stringent instructions and regulations on bonds and agreements. Circular No. 179 was quickly cancelled by the Ministry of Public Administration, but Circular No. 170 is still in force. Generally, the effect of this circular is to reduce the period of obligatory service after

leave have been given effect to, and some others have been virtually nullified—as seen by the withdrawal of the Establishment Circular Letter No. 179. Perhaps, it was considered that the effect of some of the recommendations might be to quicken some of the existing skill outflows. In fact the outflow has increased since 1974.

An interesting recommendation in the Cabinet Committee report of 1974 relates to the flow of manpower to developing countries. The Committee has recommended the

exchange of technical personnel with other developing countries on a bilateral basis. This recommendation has been implemented hositantly and in one direction only—flow out of Sri Lanka. Except for some very recent developments, the initiative has come almost entirely from other countries.

In the 68-month period from May 1971 to December 1976, 1254 doctors, 1074 engineers, 499 accountants, 141 University teachers and 1325 other skilled personnel left Sri Lanka for employment abroad—see Table 2. These persons constituted about 15 percent of the total number of professional and technical personnel (including teachers) available in the country in 1971. The proportions are particularly high in the case of doctors and accountants, and in both cases, the rate of flow has steadily increased from year to year. These are skills of which Sri Lanka is short. The shortage is very acute in certain medical and paramedical specialities and University teachers in certain subjects. The migration of high-level manpower has been predominantly to developed countries, particularly, U.K., U.S.A., Australia and New Zealand.

These figures grossly understate the outflow in that they do not include statistics of many of the Sri Lankans who qualify abroad into the professions. There is an increasing number of Sri Lankans undergoing post-secondary education overseas. The monthly outflow of professionals is of the order of 100 (Table 2) whereas the total monthly emigration is of the order of 10,000 (Table 3). Undoubtedly the latter figure includes many students who seek high-level professional training abroad and who will probably stay overseas after graduation.

A recent development has been the opening and widening of new outlets in West Asia for skill-flows from Sri Lanka. Much of these flows have been of skilled and semi-skilled personnel but there has also been a considerable flow of labour categorised as unskilled. According to one estimate about 20,000 emigrated from Sri Lanka to West Africa in the period 1-1-76 to 30-6-78 including 720 middle-level technicians, 2,840 masons, 2,685

**Table 3—EMIGRATION STATISTICS
PASAPORTS ISSUED**

Month	Number Issued
1977 December	8,499
1978 January	9,496
February	8,405
March	10,554
April	8,277
May	10,107
June	11,007
July	11,466
August	10,890
Total	88,701
Average monthly issue ..	9,855

Source: 'Migration of Trained and Skilled Manpower and Unskilled Labour to West Asia', Employment and Manpower Planning Division, Ministry of Plan Implementation, 26-9-78.

carpenters, 2,197 mechanics and 5,452 categorised as unskilled.* Numerous recruitment agencies have sprung up and are active, some of these of doubtful reputation. Many instances of financial and other malpractices on the part of the employment agencies as well as unsatisfactory conditions of employment in the country of immigration have been reported, but the flow is unabated. A consequence of this emigration is that many vital intermediate and low-level skills are in short supply.

Another important development is that for the first time, Sri Lanka is exporting female labour, mostly classified as semi-skilled or unskilled, in significant numbers. Many unsophisticated 'semi-literate' young women from Sri Lanka are in domestic employment in West Asia. According to one estimate about 1660 females have left Sri Lanka for employment in West Asia in the period 1-1-76 to 30-6-78*. Inevitably this has led to social problems. Some horror stories have been highlighted in the local press, and some pressure has built up to curb the export of female labour. On the other hand it is evident that many thousands of women in Sri Lanka are seeking jobs in West Asia, undaunted by adverse reports.

Unlike earlier emigration to developed countries, this emigration requires the intervention of specialised employment agencies. The Depart-

* R. B. Korale in an unpublished paper.

ment of Labour has been functioning as the largest recruitment agency for employment in skilled and semi-skilled positions in West Asia. In the period 1-1-76 to 30-6-78 the Department of Labour has assisted the emigration from Sri Lanka and employment in West Asia of 3,252 persons mostly in craft-level occupations. However, several private sector agencies have been functioning irregularly and irresponsibly. The Government of Sri Lanka has now decided to control and regulate the activities of private employment agencies, primarily to protect the emigrant and prospective emigrant. The function of licensing private sector employment agencies and regulating and controlling their activities has been assigned to the Ministry of Labour. The necessary legislation is under preparation.

The concern of the present Government on account of the brain drain is clear from the following extract from its first statement of policy.

"My Government will take measures to relieve the frustration caused among the intelligentsia and other highly trained and qualified persons, resulting in large numbers of such persons who are urgently needed for the development of our country leaving our shores for service abroad, by creating the necessary climate and providing incentives and opportunities for their progress and job satisfaction, not only to halt the tragic 'Brain Drain' in the future, but also to attract those who have already left to return to the service of our people.

"My government believes that the people of our country are entitled to enjoy without restriction the best professional and technical services that are available in the country and will formulate, in consultation with the appropriate professional and technical personnel both within and outside the public services, appropriate schemes to make such services freely available to the people".

This statement has been backed up not only by the decision to expand the training of scientific and technical personnel, particularly, doctors and civil engineers but also by a series of improvements in the salary scales and other benefits. Doctors and engineers have gained most by these benefits which include payment of special allowances, allowance of virtually unrestricted private practice outside working hours, no-pay leave for study/employment abroad, facilities to import cars, and re-employment on satisfactory terms for those who had resigned or retired. (e.g. a wide range

of benefits including additional allowances upto Rs. 600/- per month are set out in the Public Administration Circular No. 120 of March 1978 titled 'Exodus of Engineers from Sri Lanka.' In his Budget Speech of November 15, 1978 the Finance Minister indicated that the sweeping salary increases and tax concessions to State Officers were designed partly to counter the external brain drain.

Government policy in relation to the brain drain is now more positive than ever before. The Minister of Labour visited 5 West Asian countries with large Sri Lankan populations in June 1978 and met and spoke to many Sri Lankans working there. He took up the question of their living and working conditions and also the possibility of further emigration of Sri Lankans to those countries. A report of these visits was presented to Parliament.

POLICY

The internal brain drain is closely related to the external brain drain in both cause and effect. It afflicts all countries, rich and poor, but generally developing countries suffer most. Among developing countries, those in which the urban-rural or other regional differentials are sharpest would be most affected. The obvious remedy lies in the social and economic development of the backward regions on a priority basis, coupled with special incentives to skilled persons to serve in these regions. Very few developing countries have succeeded in effectively implementing such policies. In fact it is the reverse bias which is widely prevalent.

Superficially, the internal brain drain may appear easier to control than the external brain drain, in that its solution is entirely within the competence of the Government of the country, but this may be illusive. The base of political and economic power is usually in the more developed regions and the urban areas, and this usually ensures that it is the developed areas which receive priority attention for further development, to the neglect of the backward regions. Chivalric attempts to stem the internal brain drain without solving the root causes (e.g. compelling Government medical officers to serve in areas and institutions where

minimum social amenities or working facilities are not available) may only serve to flood the external brain drain.

Key motive force

A key motive force in the brain drain, both internal and external, is the absence of satisfactory career prospects, inadequate professional recognition and lack of job-satisfaction. It is important to ensure that technical personnel even in remote outposts have reasonable access to professional journals and relevant scientific literature. It is also necessary to ensure that people working in the periphery have opportunities of doing research, and of participating in the activities of scientific and professional bodies. They should not be at a disadvantage compared to their colleagues in urban centres in such matters as appointments and promotions, in the award of fellowships etc.

There are backward areas in almost every country in which the economy is sick and contracting, and from which most of the young and able, the energetic, ambitious and enterprising have fled. The community in such regions may be surviving mainly on state subsidies, the savings and pensions of the older folk, and some money sent to their dependents by those who have migrated to regions with healthier economies. The sick regions on their own can attract neither the capital nor the skills required for economic regeneration. Without substantial and planned intervention from outside, the vicious circle leading to the continued degradation of the region cannot be broken. Generally it is the state which can undertake this task. Central to any scheme of state intervention must be a programme to halt and reverse the brain drain.

Lack of mobility can be just as problematic as excess mobility. This is particularly true of internal migration. Many countries have pockets of persistent labour surplus as well as pockets of persistent labour shortage. In addition, within a town or a region, there may be some occupations for which labour supply far exceeds demand and others for which labour supply falls far short of demand. In Sri Lanka there are many areas in the Dry Zone which suffer severe seasonal shortages of

agricultural labour; there are many hill country tea areas which suffer from lack of labour nearly all the year round on account of the restriction of Indian estate labour. On the other hand the official unemployment figure for the country is over one million i.e. around 20% of the total labour force. Lack of internal mobility both geographical and between occupations is a major factor in this paradox. It may be possible to clear obstacles to geographical mobility by offering land for settlement, various subsidies and good living and working conditions. Occupational barriers could be overcome by changes in the wage structure and living and working conditions.

Sale of skills

Where the skill shortage is less acute but the training cost or the skill level high (e.g. in the case of electrical engineers and lawyers in Sri Lanka), skills could be sold. There could be government-to-government agreements on outright payment on emigration, or there could be individual bonds to repatriate a specified quantity of money in foreign currency. Alternatively the skills could be loaned e.g. state officers could be released for a period on no-pay leave on bond to return and serve the country for a specified term. Where the training costs and skill levels are low, emigration can be freely permitted, or even encouraged so as to ease the employment problem at home and assist the development of the country of immigration. In certain cases, skill flows can be profitably tied to reverse aid projects, e.g. the flow of doctors to the U.S.A. to U.S. aid to the medical colleges; the flow of engineers to the UK to British aid to the engineering colleges; and the flow of civil engineering craftsmen to West Asia to West Asian aid for craft-level training programmes. There could also be mutually beneficial arrangements for the exchange of skills, particularly with other developing countries.

The bulk of the skilled personnel will be required to stay and contribute to the development of the country. It is most desirable that they should stay willingly and contribute their best. Broadening of higher educational facilities could

regions those contemplating emigration of the education prospects of their children in their homeland. In some cases, salary scales may have to be increased and promotion prospects improved. Although salaries in poor countries cannot possibly be made comparable to those in rich countries, these should be structured to reflect the relative importance assigned to the different skills. Good working facilities and satisfactory living conditions are important. Access to scientific and professional literature, facilities for higher studies, research and professional advancement, and opportunities to gain the recognition at home and abroad should be provided. Fair promotional prospects and a satisfactory system of appointments and transfers are essential.

The economic and social development of the periphery are both vital to stem the internal brain drain. The rural areas must not only build economic opportunities but also enjoy the benefits of adequate educational, health, housing, recreational, transport, shopping and other facilities. Underdeveloped regions can be given priority in housing, public investment, and special incentives such as tax benefits can be offered for private sector investment in these areas. Public officers serving in certain areas may need to be given privileges such as special allowances, transport facilities and living quarters on nominal charges. Special consideration can be given to those who have put in a stipulated minimum period of service in disadvantaged regions in the matter of transfers, promotions, selection for fellowships and special appointments. At present those in the urban centres, particularly the capital, hold the advantage in most of these matters. This bias will be particularly difficult to reverse.

The policies to be adopted in respect of the external brain drain would depend on such factors as the supply and demand of skills, their elasticities, the cost of production of various categories of skills and their relative prices. Where there is acute shortage (e.g. in the case of certain medical specialities and paramedical services in Sri Lanka), temporary prohibition against emigration may be required as well as incentives to attract skills from

abroad. This may involve travel restrictions, individual bonds and agreements with foreign governments to refrain from poaching on these skills. These are indubitably only as short-term emergency measures.

The most important proposal of the Cabinet Committee Report of 1974 was the grant of no-pay leave to scientific and technical personnel in the public service to work abroad for up to 5 years, preserving pension rights and gaining incremental credit. This facility would enable officers to serve abroad temporarily, widen their experience and save money in foreign exchange, to import cars and other items which may otherwise be out of their reach. It is unfortunate that this recommendation, though originally accepted by the Cabinet, was not implemented. Particularly in the case of the younger, junior and middle grade personnel, this privilege alone could satisfy much of their hopes and aspirations without recourse to permanent emigration. The cost to the State would have been minimal, and other countries could also have benefited. A similar proposal has now been mooted but no firm decision has been given by the Government. Almost certainly in the long-run, and even perhaps in the short-run, the net outflow of scarce skills can be slowed down if such a scheme is seriously administered. Most officers eager to do a spell abroad would be willing to accept their turn for no-pay leave if they are confident that the scheme is being implemented in a fair manner and that they will not have to wait too long for their turn. In return they will have the satisfaction that their posts would be kept for them with pension rights preserved and increments added. The administrative difficulties in working out a scheme of this nature are not insurmountable.

In some fields, these measures may have to be supplemented by policies to attract back earlier emigrants. Those who had resigned their posts in the public service could be offered their jobs back on the salary points they would have reached if they had not emigrated. Certain categories of personnel have already been given this privilege. There could also be income tax relief in respect of foreign currency earnings brought in, and special concessions in respect of

corresponding foreign exchange requirements later for specified purposes such as education. Some progress has been made in the granting of such privileges. Some relief has already been given in respect of import restrictions and import duty.

Some of these policies require the concurrence of other governments. It is only to be expected that countries which have been able to draw all the skills they require from other countries without cost or strings, may not wish to be tied up in various agreements, or pay compensation for the skills they so acquire. On the other hand developing countries cannot tolerate such riding indefinitely. Joint action by the 'donors', mostly developed countries, and some hard bargaining with 'recipients', mostly developed countries, may be necessary. Multilateral co-operation in this field is essential.

There are promising prospects of mutually profitable agreements relating to the brain drain between developing and developed countries. For example, a developed country may find it difficult or unduly expensive to produce all the skills it requires within its own borders or amongst its own citizens, and may prefer to finance the expansion of a training programme to develop such skills in a developing country, which could in return export some of the skills so produced to the aid-giving developed country. Bilateral agreements are difficult to enforce in the absence of co-operation on the part of other countries to which these emigrants may re-emigrate. Some form of international agreement is therefore necessary within which various bilateral agreements could be accommodated.

The scope for mutually beneficial agreements between developing countries may be even broader. At the ILO Session in Geneva on 10-6-1975, the former Prime Minister proposed the establishment of an international skilled manpower pool and regional co-operation between developing countries in this matter, but this proposal was not adequately followed up. Comprehensive bilateral agreement covering the sale, lease, loan or gift of skills and related import, export and exchange control policies may be possible.